Healthcare Global Enterprise Ltd

HCG Centre of Excellence, Bangalore-Visit | **Hospitals**

At Inflection Point

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

29 December 2022

Points to note:

➢ Capex to Opex model to drive RoCE, aided by volume

Oncology/Cancer is a capex heavy business with machines forming ~50% of total capex cost (Average capex for 60-80beds is ~Rs.500 Mn of which majority cost of ~Rs.250 Mn is towards machines).HCG has ~30 **(i.e. highest under one entity in India)** LINAC machines (vs 17 LINAC machines with Apollo Hospital).

HCG has revamped its business model from owning the machines to pay per use basis (Out of the 30 LINAC machines 5 machines are on pay per use basis with 20% share in realization ; 5 additional machines are expected to be added in FY23 & 6 machines in FY24).

HCG is the only company in India who has been allowed machines on pay per use basis due to the sheer volume it generates in oncology which makes the unit economics viable for machine manufacturers.

Also, beyond certain volume HCG does not pay anything, as the volume increases the pay per patient will decrease.

➢ EBIDTA margins to expand by ~300 bps

With emerging centres already performing well, the drag on margins will lower down and company is confident of 300 bps margin improvement with 100-150bps to be visible from Q1FY24 itself. Company has engaged one of the Big4 to start driving operational efficiencies at a one-time cost of Rs.50 Mn.

➢ Largest oncology focused hospital with leadership in 13 out of 18 locations present

HCG has dominant network in cancer care with market leadership across 13 out of 18 cities (where it is present) in terms of revenue. HCG is India's largest oncology focused player with >1.6x footprint of comprehensive care centres as compared to next largest player

➢ Differentiated by technology,research & customer centric approach (tumor board)

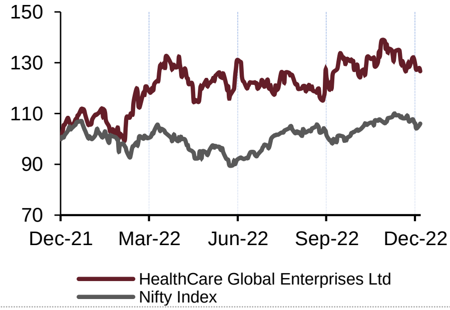
HCG is a technology focused company & does specialized R&D on oncology.HCG has published close to 756 research papers till date.HCG follows a differentiated treatment approach for critical cases where all 400 oncologist team connect through video conferencing & discuss critical cases by taking inputs from all doctors which they call it as the tumor board which is conducted every week.

Not Rated

Market data		
Current price	**Rs**	**287**
Market Cap (Rs.Bn)	(Rs Bn)	40
Market Cap (US$ Mn)	(US$ Mn)	483
Face Value	Rs	10
52 Weeks High/Low	Rs	320 / 215
Average Daily Volume	('000)	52
BSE Code		539787
Bloomberg		HCG.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	71.39	71.42
Public	28.61	28.58
Total	100	100

Source: Bloomberg

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Also HCG has cutting edge technology in the form of cyberknife (2 machines) & ethos (1 machine used for adaptive radiotheraphy ; 1st in India to adapt that & now 2 other players have followed) which has become the USP for the company as these are very expensive machines ranging from Rs.250 Mn to 500Mn & available with very few hospitals across India.

➢ Integration of centres along with formulation of strategy team to drive business excellence

HCG has been instrumental in connecting all the centres through various ERPs & softwares in last few years which has streamlined the processes & centre of excellence at Banglore; which becomes the sole decision maker w.r.t to any treatment thereby leveraging common infrastructure & reduce turn-around time.

Also HCG has formulated a strategy team to drive business excellence leading to cost rationalisation & increased brand awareness

➢ OPPORTUNITY: Oncology to outpace other speciailities in terms of growth

Oncology as a segment is expected to grow @ 12% & touch a market size of Rs. 26bn by FY24.Companies like HCG can outperform industry growth with their domain expertise in the oncology space along with PAN India presence & hub & spoke model. Out of the total ~20 lac new registrations close to 70-80k new registrations are with HCG (~3.5% of cancer care market by volume).New cancer incidences have increased from 12 lac patients in 2018 to 20L patients in 2022 (13.5% CAGR) due to increased awareness & diagnosis.

➢ Acquisition on table

Company has decided not to do any major capex going forward but focus on ramping up of existing facilities. However, for future growth HCG may look for acquisition based on operating cashflow it generates. HCG currently has a net debt position of Rs.2110 Mn as of 30th September & is expected to generate close to ~Rs.2500 Mn of operating cashflow this year. HCG aims to acquire oncology focused hospital in the EV/EBITDA range of 8-10x

➢ Turnaround in place

Company has delivered revenue & EBITDA growth during last 7 quarters on YoY as well as sequential basis. Cost rationalization efforts with ramp up of new facilities remains a key driver for this turnaround. Going forward company will continue to focus on turning around its newer facilities which are at sub 10% EBITDA margin vs mature facilities at 25%+ EBITDA margin

➢ Out-patients a key indicator in oncology business

HCG receives 2/3rd of its revenue from out-patients which are a key driver in oncology business. It cannot be directly compared to multi-speciality hospital which has in-patients as key driver. More out-patients for HCG means better operating leverage. This number is likely to increase with increase in awareness & diagnosis.

➢ Bed Capacity not a constraint

HCG has close to 2,000 beds across 22 cancer care centres. Oncology has largely out-patients (2/3rd incase of HCG) & hence it is very easy to interchange beds into day care areas and vice-versa.Bed capacity is not a constraint incase of HCG.

➢ CVC Deal :

- HCG had heavy capex plans of ~Rs.10,000 Mn during FY16-20 & post that covid hit which led to leveraged balance sheet
- At this point CVC (French private equity with US$133 billion of assets under management) came in FY20 to save the company & bought a controlling stake
- Currently they do not have plans to exit the company
- Dr.Ajaikumar plans to keep his stake at same level (~13% stake) right now & would not like to increase as he is at 71 years.

➢ Other key points :

- Focus will be on affordability & accessibility
- Best quality affordable healthcare
- Better utilization of assets
- Bringing in best technology & early stage diagnosis
- Calibrated expansion through hub & spoke model

Valuation

As per Bloomberg consensus estimate company trades at an attractive valuation of 10.33x EV/EBITDA multiple based on FY25E earnings on current market price of Rs.285.BB consensus values the company at 15x EV/EBITDA deriving a target price of Rs.350 (which is discount to multi-speciality hospitals which trade in the EV/EBITDA band of 18-25x EV/EBITDA multiple) implying an upside of 26%.Currently we do not have any rating on the stock.

Financials

P&L (Rs mn)	FY20	FY21	FY22
Net Sales	10,956	10,134	13,978
Operating Expenses	-2,399	-2,403	-3,549
Employee Cost	-2,080	-1,959	-2,337
Other Expenses	-4,756	-4,506	-5,713
Operating Profit	**1,722**	**1,266**	**2,380**
Depreciation	-1,485	-1,592	-1,583
PBIT	237	-326	797
Other income	70	170	127
Interest	-1,377	-1,192	-978
PBT	-1,069	-1,349	-54
(post exceptional)	-1,069	-2,283	892
Provision for tax	-62	76	-489
Associates/JV	-123	-4	-14
Reported PAT	-1,255	-2,211	389
MI	188	276	148
Owners PAT	-1,067	-1,935	537
(excl Exceptionals)	**-1,067**	**-1,144**	**-53**

Ratios	FY20	FY21	FY22
OPM	15.7	12.5	17.0
NPM	-9.7	-11.1	-0.4
Tax rate	5.8	-3.3	-54.8
Growth Ratios (%)			
Net Sales	11.9	-7.5	37.9
Operating Profit	37.5	-26.5	88.0
PBIT	-35.4	-237.5	-344.2
PAT	306.2	76.2	-117.6
Per Share (Rs.)			
Net Earnings (EPS)	-12.03	-15.43	3.87
Cash Earnings (CPS)	4.71	-2.73	15.25
Dividend	-	-	-
Book Value	42.99	55.61	62.61
Free Cash Flow	-73.98	1.66	5.85
Valuation Ratio			
P/E(x)	-24	-19	74
P/B(x)	7	5	5
EV/EBIDTA(x)	17	31	17
Div. Yield(%)	-	-	-
FCF Yield(%)	-25.87	0.58	2.05

Balance Sheet (Rs mn)	FY20	FY21	FY22
Equity capital	887	1,254	1,390
Reserves	2,926	5,718	7,313
Net worth	**3,813**	**6,972**	**8,703**
MI	385	168	134
Non Current Liabilites	12,576	8,564	8,661
Current Liabilites	5,758	4,653	4,698
TOTAL LIABILITIES	**22,532**	**20,356**	**22,195**
Non Current Assets	19,494	16,006	17,172
Fixed Assets	11,145	10,010	11,643
Right of Use Assets	5,776	4,114	4,045
Financial Assets	563	431	634
Deferred Tax Asset	261	343	60
Long Term Loans and Advances	516	451	-
Other Non Current Assets	1,232	658	790
Current Assets	**3,038**	**4,350**	**5,023**
Current investments	-	-	-
Inventories	233	211	300
Trade Receivables	1,857	1,866	2,175
Cash and Bank Balances	320	408	1,975
Short Term Loans and Advances	54	93	16
Other Financial	275	1,546	341
Other Current Assets	300	225	217
TOTAL ASSETS	**22,532**	**20,356**	**22,195**

Cashflow (Rs mn)	FY20	FY21	FY22
Net Profit	-1,067	-1,935	537
Add: Dep. & Amort.	1,485	1,592	1,583
Cash profits	**418**	**-342**	**2,120**
(Inc)/Dec in			
-Sundry debtors	-288	-10	-308
-Inventories	35	22	-89
-Loans/advances	-53	-706	1,863
-Current Liab and Provisions	120	-1,742	215
Change in working capital	-186	-2,435	1,681
CF from Oper. activities	**232**	**-2,778**	**3,801**
CF from Inv. activities	**-7,033**	**1,338**	**-3,351**
CF from Fin. activities	**6,913**	**1,527**	**1,117**
Cash generated/(utilised)	112	88	1,567
Cash at start of the year	209	320	408
Cash at end of the year	320	408	1,975

Source: Company, Dalal & Broacha Research

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